Substitute Senate Bill No. 733

Public Act No. 03-135

AN ACT CONCERNING REVISIONS TO THE ELECTRIC RESTRUCTURING LEGISLATION.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. Subdivisions (26) and (27) of subsection (a) of section 16-1 of the general statutes are repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(26) "Class I renewable energy source" means (A) energy derived from solar power, wind power, a fuel cell, methane gas from landfills, ocean thermal power, wave or tidal power, low emission advanced renewable energy conversion technologies, a run-of-the-river hydropower facility provided such facility has a generating capacity of not more than five megawatts, does not cause an appreciable change in the river flow, and began operation after the effective date of this section, or a biomass facility, including, but not limited to, a biomass gasification plant that utilizes land clearing debris, tree stumps or other biomass that regenerates or the use of which will not result in a depletion of resources, provided such facility begins operating on or after July 1, 1998, **[**and**]** and such biomass is cultivated and harvested in a sustainable manner, except that energy derived from a biomass facility that began operation before July 1, 1998, may be considered a Class I renewable energy source, provided the average emission rate for such facility is equal to or less than .075 pounds of nitrogen oxides per million BTU of heat input for the previous calendar quarter and such biomass is cultivated and harvested in a sustainable manner, or (B) any electrical generation, including distributed generation, generated from a Class I renewable energy source;

(27) "Class II renewable energy source" means energy derived from a trash-to-energy facility, **[**or**]** a biomass facility **[**that does not meet the criteria for a class I renewable energy source or a hydropower facility, provided such facility has a license issued by the Federal Energy Regulatory Commission, has been exempted from such licensure, is the subject of a license application or notice of intent to seek a license from said commission, has been found by the Commissioner of Environmental Protection to be operating in compliance with the federal Clean Water Act, or has been found by the Canadian environmental assessment agency to be operating in compliance with said agency's resource objectives**]** that began operation before July 1, 1998, provided the average emission rate for such facility is equal to or less than .2 pounds of nitrogen oxides per million BTU of heat input for the previous calendar quarter, or a run-of-the-river hydropower facility provided such facility has a generating capacity of not more than five megawatts, does not cause an appreciable change in the riverflow, and began operation prior to the effective date of this section.

Sec. 2. Subsection (a) of section 16-1 of the general statutes is amended by adding subdivisions (40) and (41) as follows (*Effective July 1, 2003*):

(NEW) (40) "Distributed generation" means the generation of electricity on the premises of an end user within the transmission and distribution system including, but not limited to, fuel cells, photovoltaic systems or small wind turbines.

(NEW) (41) "Federally mandated congestion costs" means any cost imposed by the Federal Energy Regulatory Commission as part of New England Standard Market Design.

Sec. 3. Section 16-243h of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

On and after January 1, 2000, each electric supplier [, as defined in section 16-1] or any electric distribution company providing standard offer, transitional standard offer, standard service or back-up electric generation service, pursuant to section 16-244c, as amended by this act, shall give a credit for any electricity generated by a residential customer from a Class I renewable energy source or a hydropower facility. [as described in subdivision (27) of section 16-1.] The electric distribution company providing electric distribution services to such a customer shall make such interconnections necessary to accomplish such purpose. An electric distribution company, at the request of any residential customer served by such company and if necessary to implement the provisions of this section, shall provide for the installation of metering equipment that (1) measures electricity consumed by such customer from the facilities of the electric distribution company, (2) deducts from the measurement the amount of electricity produced by the customer and not consumed by the customer, and (3) registers, for each billing period, the net amount of electricity either [(i)] (A) consumed and produced by the customer, or [(ii)] (B) the net amount of electricity produced by the customer. A residential customer who generates electricity from a generating unit with a name plate capacity of more than ten kilowatts of electricity pursuant to the provisions of this section shall be assessed for the competitive transition assessment, pursuant to section 16-245g and the systems benefits charge, pursuant to section 16-245l, as amended by this act, based on the amount of electricity consumed by the customer from the facilities of the electric distribution company without netting any electricity produced by the customer. For purposes of this section, "residential customer" means a customer of a single-family dwelling or multifamily dwelling consisting of two to four units.

Sec. 4. Section 16-244c of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(a) (1) On and after January 1, 2000, each electric distribution company [, as defined in section 16-1,] shall make available to all customers in its service area, the provision of electric generation and distribution services through a standard offer. Under the standard offer, a customer shall receive electric services at a rate established by the Department of Public Utility Control pursuant to subdivision (2) of this subsection. Each electric distribution company shall provide electric generation services in accordance with such option to any customer who affirmatively chooses to receive electric generation services pursuant to the standard offer or does not or is unable to arrange for or maintain electric generation services with an electric supplier. [, as defined in said section 16-1.] The standard offer shall automatically terminate on January 1, 2004. [, unless extended by the General Assembly pursuant to section 74 of public act 98-28*.] While providing electric generation services under the standard offer, an electric distribution company may provide electric generation services through any of its generation entities or affiliates, provided such entities or affiliates are licensed pursuant to section 16-245, as amended by this act.

(2) Not later than October 1, 1999, the Department of Public Utility Control shall establish the standard offer for each electric distribution company, effective January 1, 2000, which shall allocate the costs of such company among electric transmission and distribution services, electric generation services, the competitive transition assessment and the systems benefits charge. The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 to establish the standard offer. The standard offer shall provide that the total rate charged under the standard offer, including electric transmission and distribution services, the conservation and load management program charge described in section 16-245m, as amended by this act, the renewable energy investment charge described in section 16-245n, electric generation services, the competitive transition assessment and the systems benefits charge shall be at least ten per cent less than the base rates, as defined in section 16-244a, in effect on December 31, 1996. The standard offer shall be adjusted to the extent of any increase or decrease in state taxes attributable to sections 12-264 and 12-265 and any other increase or decrease in state or federal taxes resulting from a change in state or federal law and shall continue to be adjusted during such period pursuant to section 16-19b. Notwithstanding the provisions of section 16-19b, the provisions of said section 16-19b shall apply to electric distribution companies. The standard offer may be adjusted, by an increase or decrease, to the extent approved by the department, in the event that (A) the revenue requirements of the company are affected as the result of changes in (i) legislative enactments other than public act 98-28**, (ii) administrative requirements, or (iii) accounting standards occurring after July 1, 1998, provided such accounting standards are adopted by entities independent of the company that have authority to issue such standards, or (B) an electric distribution company incurs extraordinary and unanticipated expenses required for the provision of safe and reliable electric service to the extent necessary to provide such service. Savings attributable to a reduction in taxes shall not be shifted between customer classes.

(3) The price reduction provided in subdivision (2) of this subsection shall not apply to customers who, on or after July 1, 1998, are purchasing electric services from an electric company or electric distribution company, as the case may be, under a special contract or flexible rate tariff, and the company's filed standard offer tariffs shall reflect that such customers shall not receive the standard offer price reduction.

[(b) On and after January 1, 2004, each electric distribution company shall serve any customer who does not or is unable to arrange for or maintain electric generation services with an electric supplier. The electric distribution company shall procure electric generation services for such customers through a competitive bidding process. An electric distribution company may procure electric generation services through any of its generation entities or affiliates, provided such entity or affiliate is the lowest qualified bidder and provided further any such entity or affiliate is licensed pursuant to section 16-245. **]**

(b) (1) On and after January 1, 2004, each electric distribution company shall make available to all customers in its service area, the provision of electric generation and distribution services through a transitional standard offer. Under the transitional standard offer, a customer shall receive electric services at a rate established by the Department of Public Utility Control pursuant to subdivision (2) of this subsection. Each electric distribution company shall provide electric generation services in accordance with such option to any customer who affirmatively chooses to receive electric generation services pursuant to the transitional standard offer or does not or is unable to arrange for or maintain electric generation services with an electric supplier. The transitional standard offer shall terminate on December 31, 2006. While providing electric generation services under the transitional standard offer, an electric distribution company may provide electric generation services through any of its generation entities or affiliates, provided such entities or affiliates are licensed pursuant to section 16-245, as amended by this act.

(2) (A) Not later than December 15, 2003, the Department of Public Utility Control shall establish the transitional standard offer for each electric distribution company, effective January 1, 2004.

(B) The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 to establish the transitional standard offer. The transitional standard offer shall provide that the total rate charged under the transitional standard offer, including electric transmission and distribution services, the conservation and load management program charge described in section 16-245m, as amended by this act, the renewable energy investment charge described in section 16-245n, electric generation services, the competitive transition assessment and the systems benefits charge, and excluding federally mandated congestion costs, shall not exceed the base rates, as defined in section 16-244a, in effect on December 31, 1996, excluding any rate reduction ordered by the department on September 26, 2002.

(C) (i) Each electric distribution company shall, on or before January 1, 2004, file with the department an application for an amendment of rates pursuant to section 16-19, which application shall include a four-year plan for the provision of electric transmission and distribution services. The department shall conduct a contested case proceeding pursuant to sections 16-19 and 16-19e to approve, reject or modify the application and plan. Upon the approval of such plan, as filed or as modified by the department, the department shall order that such plan shall establish the electric transmission and distribution services component of the transitional standard offer.

(ii) Notwithstanding the provisions of this subparagraph, an electric distribution company that, on or after September 1, 2002, completed a proceeding pursuant to sections 16-19 and 16-19e, shall not be required to file an application for an amendment of rates as required by this subparagraph. The department shall establish the electric transmission and distribution services component of the transitional standard offer for any such company equal to the electric transmission and distribution services component of the standard offer established pursuant to subsection (a) of this section in effect on the effective date of this section for such company. If such electric distribution company applies to the department, pursuant to section 16-19, for an amendment of its rates on or before December 31, 2006, the application of the electric distribution company shall include a four-year plan.

(D) The transitional standard offer shall be adjusted to the extent of any increase or decrease in state taxes attributable to sections 12-264 and 12-265 and any other increase or decrease in state or federal taxes resulting from a change in state or federal law and shall continue to be adjusted during such period pursuant to section 16-19b. Savings attributable to a reduction in taxes shall not be shifted between customer classes.

Notwithstanding the provisions of section 16-19b, the provisions of section 16-19b shall apply to electric distribution companies.

(E) The transitional standard offer may be adjusted, by an increase or decrease, to the extent approved by the department, in the event that (i) the revenue requirements of the company are affected as the result of changes in (I) legislative enactments other than this act or public act 98-28, (II) administrative requirements, or (III) accounting standards adopted after July 1, 2003, provided such accounting standards are adopted by entities that are independent of the company and which have authority to issue such standards, or (ii) an electric distribution company incurs extraordinary and unanticipated expenses required for the provision of safe and reliable electric service to the extent necessary to provide such service.

(3) The price provided in subdivision (2) of this subsection shall not apply to customers who, on or after July 1, 2003, purchase electric services from an electric company or electric distribution company, as the case may be, under a special contract or flexible rate tariff, provided the company's filed transitional standard offer tariffs shall reflect that such customers shall not receive the transitional standard offer price during the term of said contract or tariff.

(4) (A) In addition to its costs received pursuant to subsection (h) of this section, as compensation for providing transitional standard offer service, each electric distribution company shall receive an amount equal to five-tenths of one mill per kilowatt hour. Revenues from such compensation shall not be included in calculating the electric distribution company's earnings for purposes of, or in determining whether its rates are just and reasonable under, sections 16-19, 16-19a and 16-19e, including an earnings sharing mechanism. In addition, each electric distribution company may earn compensation for mitigating the prices of the contracts for the provision of electric generation services, as provided in subdivision (2) of this subsection.

(B) The department shall conduct a contested case proceeding pursuant to the provisions of chapter 54 to establish an incentive plan for the procurement of long-term contracts for transitional standard offer service by an electric distribution company. The incentive plan shall be based upon a comparison of the actual average firm full requirements service contract price for electricity obtained by the electric distribution company compared to the regional average firm full requirements service contract price for electricity, adjusted for such variables as the department deems appropriate, including, but not limited to, differences in locational marginal pricing. If the actual average firm full requirements service contract price obtained by the electric distribution company is less than the actual regional average firm full requirements service contract price for the previous year, the department shall split five-tenths of one mill per kilowatt hour equally between ratepayers and the company. Revenues from such incentive plan shall not be included in calculating the electric distribution company's earnings for purposes of, or in determining whether its rates are just and reasonable under sections 16-19, 16-19a and 16-19e. The department may, as it deems necessary, retain a third party entity with expertise in energy procurement to assist with the development of such incentive plan.

(c) (1) On and after January 1, 2007, each electric distribution company shall provide electric generation services through standard service to any customer who (A) does not arrange for or is not receiving electric generation services from an electric supplier, and (B) does not use a demand meter or has a maximum demand of less than five hundred kilowatts.

(2) Not later than October 1, 2006, and periodically as required by subdivision (3) of this subsection, but not more often than every calendar quarter, the Department of Public Utility Control shall establish the standard service price for such customers pursuant to subdivision (3) of this subsection. Each electric distribution company shall recover the actual net costs of procuring and providing electric generation services pursuant to this subsection, provided such company mitigates the costs it incurs for the procurement of electric generation services for customers who are no longer receiving service pursuant to this subsection.

(3) An electric distribution company providing electric generation services pursuant to this subsection shall mitigate the variation of the price of the service offered to its customers by procuring electric generation services contracts in the manner prescribed in a plan approved by the department. Such plan shall require the procurement of a portfolio of service contracts sufficient to meet the projected load of the electric distribution company. Such plan shall require that the portfolio of service contracts be procured in an overlapping pattern of fixed periods at such times and in such manner and duration as the department determines to be most likely to produce just, reasonable and reasonably stable retail rates while reflecting underlying wholesale market prices over time. The portfolio of contracts shall be assembled in such manner as to invite competition; guard

against favoritism, improvidence, extravagance, fraud and corruption; and secure a reliable electricity supply while avoiding unusual, anomalous or excessive pricing. The portfolio of contracts procured under such plan shall be for terms of not less than six months, provided contracts for shorter periods may be procured under such conditions as the department shall prescribe to (A) ensure the lowest rates possible for end-use customers; (B) ensure reliable service under extraordinary circumstances; and (C) ensure the prudent management of the contract portfolio. An electric distribution company may receive a bid for an electric generation services contract from any of its generation entities or affiliates, provided such generation entity or affiliate submits its bid the business day preceding the first day on which an unaffiliated electric supplier may submit its bid and further provided the electric distribution company and the generation entity or affiliate are in compliance with the code of conduct established in section 16-244h.

(4) The department, in consultation with the Office of Consumer Counsel, shall retain the services of a third-party entity with expertise in the area of energy procurement to oversee the initial development of the request for proposals and the procurement of contracts by an electric distribution company for the provision of electric generation services offered pursuant to this subsection. Costs associated with the retention of such third-party entity shall be included in the cost of electric generation services that is included in such price.

(5) Each bidder for a standard service contract shall submit its bid to the electric distribution company and the third-party entity who shall jointly review the bids and submit an overview of all bids together with a joint recommendation to the department as to the preferred bidders. The department may, within ten business days of submission of the overview, reject the recommendation regarding preferred bidders. In the event that the department rejects the preferred bids, the electric distribution company and the third-party entity shall rebid the service pursuant to this subdivision.

(d) (1) Notwithstanding the provisions of this section regarding the electric generation services component of the transitional standard offer or the procurement of electric generation services under standard service, section 16-244h or 16-245o, the Department of Public Utility Control may, from time to time, direct an electric distribution company to offer, through an electric supplier or electric suppliers, before January 1, 2007, one or more alternative transitional standard offer options or, on or after January 1, 2007, one or more alternative standard service options. Such alternative options shall include, but not be limited to, an option that consists of the provision of electric generation services that exceed the renewable portfolio standards established in section 16-245a, as amended by this act, and may include an option that utilizes strategies or technologies that reduce the overall consumption of electricity of the customer.

(2) (A) The department shall develop such alternative option or options in a contested case conducted in accordance with the provisions of chapter 54. The department shall determine the terms and conditions of such alternative option or options, including, but not limited to, (i) the minimum contract terms, including pricing, length and termination of the contract, and (ii) the minimum percentage of electricity derived from Class I or Class II renewable energy sources, if applicable. The electric distribution company shall, under the supervision of the department, subsequently conduct a bidding process in order to solicit electric suppliers to provide such alternative option or options.

(B) The department may reject some or all of the bids received pursuant to the bidding process.

(3) The department may require an electric supplier to provide forms of assurance to satisfy the department that the contracts resulting from the bidding process will be fulfilled.

(4) An electric supplier who fails to fulfill its contractual obligations resulting from this subdivision shall be subject to civil penalties, in accordance with the provisions of section 16-41, or the suspension or revocation of such supplier's license or a prohibition on the acceptance of new customers, following a hearing that is conducted as a contested case, in accordance with the provisions of chapter 54.

(e) (1) On and after January 1, 2007, an electric distribution company shall serve customers that are not eligible to receive standard service pursuant to subsection (c) of this section as the supplier of last resort. This subsection shall not apply to customers purchasing power under contracts entered into pursuant to section 16-19hh. Any customer previously receiving electric generation services from an electric supplier shall not be eligible to receive supplier of last resort service pursuant to this subsection unless such customer agrees to receive supplier of last resort service for a period of not less than one year.

(2) An electric distribution company shall procure electricity to provide electric generation services to customers pursuant to this subsection. The Department of Public Utility Control shall determine a price for such customers that reflects the full cost of providing the electricity on a monthly basis. Each electric distribution company shall recover the actual net costs of procuring and providing electric generation services pursuant to this subsection, provided such company mitigates the costs it incurs for the procurement of electric generation services for customers that are no longer receiving service pursuant to this subsection.

[(c)] (f) On and after January 1, 2000, and until such time the regional independent system operator implements procedures for the provision of back-up power to the satisfaction of the Department of Public Utility Control, each electric distribution company shall provide electric generation services to any customer who has entered into a service contract with an electric supplier that fails to provide electric generation services for reasons other than the customer's failure to pay for such services. Between January 1, 2000, and December 31, [2003] 2006, an electric distribution company may procure electric generation services through a competitive bidding process or through any of its generation entities or affiliates. On and after January 1, [2004] 2007, such company shall procure electric generation services through a competitive bidding process pursuant to a plan submitted by the electric distribution company and approved by the department. Such company may procure electric generation services through any of its generation entities or affiliates, provided such entity or affiliate is the lowest qualified bidder and provided further any such entity or affiliate is licensed pursuant to section 16-245, as amended by this act.

[(d)] (g) An electric distribution company is not required to be licensed pursuant to section 16-245, as amended by this act, to provide standard offer electric generation services in accordance with subsection (a) of this section, transitional standard offer service pursuant to subsection (b) of this section, standard service pursuant to subsection (c) of this section, supplier of last resort service pursuant to subsection (e) of this section or back-up electric generation [services prior to January 1, 2004, in accordance with subsection (c) of this section] service pursuant to subsection (f) of this section.

[(e)] (h) The electric distribution company shall be entitled to recover reasonable costs incurred as a result of providing standard offer electric generation services pursuant to the provisions of subsection (a) of this section, [the default service pursuant to subsection (b) of this section or the back-up electric generation services pursuant to subsection (c) of this section] transitional standard offer service pursuant to subsection (b) of this section, standard service pursuant to subsection (d) of this section or back-up electric generation service pursuant to subsection (f) of this section. The provisions of this section and section 16-244a shall satisfy the requirements of section 16-19a until January 1, [2004] 2007.

[(f)] (i) The Department of Public Utility Control shall establish, by regulations adopted pursuant to chapter 54, [standards or procedures for an electric distribution company's procuring power and competitive bidding for purposes of subsections (b) and (c) of this section in a commercially reasonable manner and] procedures for when and how a customer is notified that his electric supplier has defaulted and of the need for the customer to choose a new electric supplier within a reasonable period of time.

(j) (1) Notwithstanding the provisions of subsection (d) of this section regarding an alternative transitional standard offer option or an alternative standard service option, an electric distribution company providing transitional standard offer service, standard service, supplier of last resort service or back-up electric generation service in accordance with this section shall comply with the renewable portfolio standards by contracting with an electric supplier to meet such standards. The Department of Public Utility Control shall annually conduct a contested case, in accordance with the provisions of chapter 54, in order to determine whether the electric distribution company met the renewable portfolio standards during the preceding year. The department shall require a payment by any such electric distribution company that fails to comply with the renewable portfolio standards during the subject annual period in the amount of five and one-half cents per kilowatt hour. The department shall allocate such payment to the Renewable Energy Investment Fund for the development of Class I renewable energy sources. A payment incurred pursuant to this subdivision shall not be deemed a recoverable operating expense in a rate proceeding held pursuant to section 16-19.

(2) Notwithstanding the provisions of subsection (d) of this section regarding an alternative transitional standard offer option or an alternative standard service option, an electric distribution company providing transitional standard offer service, standard service, supplier of last resort service or back-up electric generation service in accordance with this section shall, not later than July 1, 2007, file with the Department

of Public Utility Control one or more long-term power purchase contracts from Class I renewable energy source projects that receive funding from the Renewable Energy Investment Fund at a price that is not more than the total of the comparable wholesale market price for generation plus five and one-half cents per kilowatt hour. Such contracts shall be comprised of not less than a total, apportioned among each electric distribution company, of one hundred megawatts. The cost of such contracts and the administrative costs for the procurement of such contracts directly incurred shall be eligible for inclusion in the generation services charge component of rates, provided that such contracts are for a period of time sufficient to provide financing for such projects, but not less than ten years and are for projects which began operation on or after July 1, 2003. The amount from Class I renewable energy sources contracted under such contracts shall be applied to reduce the applicable Class I renewable energy source portfolio standards. For purposes of this subdivision, the department's determination of the comparable wholesale market price for generation shall be based upon a reasonable estimate.

Sec. 5. Section 16-244d of the general statutes is amended by adding subsections (f) and (g) as follows (*Effective July 1, 2003*):

(NEW) (f) The Department of Public Utility Control, in consultation with the Office of Consumer Counsel, shall establish a program for the dissemination of information regarding electric suppliers. Such program shall require electric distribution companies to distribute an informational summary on electric suppliers to any new customer and to existing customers beginning on January 1, 2004, and semiannually thereafter. Such informational summary shall be developed by the department and shall include, but not be limited to, the name of each licensed electric supplier, the state where the supplier is based, information on whether the supplier has active offerings for either residential or commercial and industrial consumers, the telephone number and Internet address of the supplier, and information as to whether the supplier offers electric generation services from renewable energy sources in excess of the portfolio standards established pursuant to section 16-245a, as amended by this act. The department shall include pricing information in the informational summary to the extent the department determines feasible. The department shall post the informational summary in a conspicuous place on its website and provide electronic links to the website of each supplier. The department shall update the informational summary on its website on at least a quarterly basis.

(NEW) (g) The Department of Public Utility Control, in consultation with the Office of Consumer Counsel and the Consumer Education Advisory Council, shall, not later than October 1, 2003, develop a plan for the restart of the education outreach program on or before October 1, 2004, and submit, in accordance with the provisions of section 11-4a, such plan to the joint standing committee of the General Assembly having cognizance of matters relating to energy and technology.

Sec. 6. Section 16-245 of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(a) No person shall execute any contract relating to the sale of electric generation services to be rendered after January 1, 2000, to end use customers located in the state unless such person has been issued a license by the department in accordance with the provisions of this section. No license shall be valid before July 1, 1999.

(b) On and after January 1, 2000, no person, no municipality and no regional water authority shall sell or attempt to sell electric generation services to end use customers located in the state using the transmission or distribution facilities of an electric distribution company **[**, as defined in section 16-1, and no municipality and no regional water authority except as provided in section 16-245b and no person shall aggregate, broker or market the sale of electric generation services to end use customers using the transmission or distribution facilities of an electric distribution company**]** unless the person has been issued a license by the Department of Public Utility Control in accordance with the provisions of this section, provided an electric distribution company is not required to be licensed pursuant to this section to provide electric generation services pursuant to **[**subsection (a) or, prior to January 1, 2004, subsection (c) of**]** section 16-244c, as amended by this act. On and after April 30, 2002, the Connecticut Resources Recovery Authority shall not **[**(1)**]** sell or attempt to sell electric generation services to end use customers located in the state using the transmission or distribution facilities of an electric distribution company **[**, as defined in section 16-1,**]** unless the authority has been issued a license by the Department of Public Utility Control in accordance with the provisions of this section. **[**, or (2) aggregate, broker or market the sale of electric generation services to end use customers

using the transmission or distribution facilities of an electric distribution company except as provided in section 16-245b.] Not later than January 1, 1999, the department shall, by regulations adopted pursuant to chapter 54, develop licensing procedures. The licensing process shall begin not later than April 1, 1999.

(c) To ensure the safety and reliability of the supply of electricity in this state, the Department of Public Utility Control shall not issue a license unless the [person] applicant can demonstrate to the satisfaction of the department that [: (1) The person] the applicant has the technical, managerial and financial capability to provide electric generation services and provides and maintains a bond or other security in amount and form approved by the department, to ensure its financial responsibility and its supply of electricity to end use customers in accordance with contracts, agreements or arrangements. [; (2) the person or the entity or entities with whom the person has a contractual relationship to purchase power is in compliance with all applicable licensing requirements of the Federal Energy Regulatory Commission; (3) the person is registered with or certified by the regional independent systems operator or has a contractual relationship with one or more entities who are registered with or certified by the regional independent systems operator and is in compliance with all system rules and standards established by the regional independent systems operator; (4) the person owns or purchases such capacity and reserves as may be required by the regional independent system operator, to provide adequate electricity to all the person's customers; (5) the person's generation facilities located in North America are in compliance with regulations adopted by the Commissioner of Environmental Protection pursuant to section 22a-174j; and (6) for any generation facility within this state, the facility is in compliance with chapter 277a and state environmental laws and regulations.] A license shall be subject to periodic review on a schedule to be established by the department.

(d) An application for a license shall be filed with the Department of Public Utility Control, accompanied by a fee pursuant to subsection (e) of this section. The application shall contain such information as the department may deem relevant, including, but not limited to, the following: (1) The address of the applicant's headquarters and the articles of incorporation, as filed with the state in which the applicant is incorporated; (2) the address of the applicant's principal office in the state, [and] if any, or the address of the applicant's agent for service in the state; (3) the toll-free telephone number for customer service; (4) information about the applicant's corporate structure, including names and financial statements, as appropriate, concerning corporate affiliates; (5) a disclosure of whether the applicant or any of the [applicant is] applicant's corporate affiliates or officers have been or are currently under investigation for violation of any consumer protection law or regulation to which it is subject, either in this state or in another state; (6) a copy of its standard service contract; [(7) an attestation that it is subject to chapters 208, 212, 212a and 219, as applicable, and that it shall pay all taxes it is subject to in this state; and (8)] and (7) a scope of service plan which sets forth, among other things, a description of the geographic area the applicant plans to serve.

(e) The application fee shall include the costs to investigate and administer the licensing procedure and shall be commensurate with the level of investigation necessary, as determined by regulations adopted by the Department of Public Utility Control.

(f) Not more than thirty days after receiving an application, the Department of Public Utility Control shall notify the applicant whether the application is complete or whether the applicant must submit additional information. The department shall grant or deny a license application [, after notice and a hearing,] not more than ninety days after receiving all information required of an applicant. [Any hearing shall be conducted as a contested case in accordance with chapter 54.] The department shall hold a public hearing on an application upon the request of any interested party.

(g) [The Department of Public Utility Control shall require, as] As conditions of [a license, that] continued licensure, in addition to the requirements of subsection (c) of this section: (1) The [supplier complies] licensee shall comply with the National Labor Relations Act and regulations, if applicable; (2) the [supplier complies] licensee shall comply with the Connecticut Unfair Trade Practices Act and applicable regulations; (3) each generating facility operated by or under long-term contract to the [supplier complies] licensee shall comply with regulations adopted by the Commissioner of Environmental Protection, pursuant to section 22a-174j; (4) the [supplier complies] licensee shall comply with the portfolio standards, pursuant to section 16-245a, as amended by this act; (5) the licensee shall be a member of the New England Power Pool or its successor or has a contractual relationship with one or more entities who are members of the New England Power Pool or its successor and the [supplier complies] licensee shall comply with the [system] rules of the regional independent system operator and standards and any other reliability guidelines of the regional

independent systems operator; (6) the [supplier agrees] licensee shall agree to cooperate with the department and other electric suppliers [, as defined in section 16-1,] in the event of an emergency condition that may jeopardize the safety and reliability of electric service; (7) the [supplier complies] licensee shall comply with the code of conduct established pursuant to section 16-244h; [and] (8) for a license to a participating municipal electric utility, the [supplier provides] licensee shall provide open and nondiscriminatory access [of] to its distribution facilities to other licensed electric suppliers; (9) the licensee or the entity or entities with whom the licensee has a contractual relationship to purchase power shall be in compliance with all applicable licensing requirements of the Federal Energy Regulatory Commission; (10) each generating facility operated by or under long-term contract to the licensee shall be in compliance with chapter 277a and state environmental laws and regulations; (11) the licensee shall comply with the renewable portfolio standards established in section 16-245a, as amended by this act; and (12) the licensee shall acknowledge that it is subject to chapters 208, 212, 212a and 219, as applicable, and the licensee shall pay all taxes it is subject to in this state. Also as a condition of a license, the department shall prohibit each [supplier] licensee from declining to provide service to customers for the reason that the customers are located in economically distressed areas. The department may establish additional reasonable conditions to assure that all retail customers will continue to have access to electric generation services.

(h) The department shall maintain regular communications with the regional independent system operator to effectuate the provisions of this section and to ensure that an adequate, safe and reliable supply of electricity is available.

(i) Each licensee shall, at such times as the department requires but not less than annually, submit to the Department of Public Utility Control, on a form prescribed by the department, an update of information the department deems relevant. Each licensee shall notify the department at least ten days before: (1) A change in corporate structure that affects the licensee; (2) a change in the scope of service, as provided in the [supplier's] licensee's scope of service plan submitted to the department as part of the application process; and (3) any other change the department deems relevant.

(j) No license may be transferred without the prior approval of the department. The department may assess additional licensing fees to pay the administrative costs of reviewing a request for such transfer.

[(k) An electric aggregator shall not be subject to the provisions of subdivisions (2) to (6), inclusive, of subsection (c) of this section and subdivisions (4) and (5) of subsection (g) of this section.]

[(l)] (k) Any [person] licensee who fails to comply with a license condition or who violates any provision of this section, except for the renewable portfolio standards contained in subsection (g) of this section, shall be subject to [sanctions] civil penalties by the Department of Public Utility Control in accordance with section 16-41, [which may include, but are not limited to,] or the suspension or revocation of such license or a prohibition on accepting new customers following a hearing that is conducted as a contested case in accordance with chapter 54. Notwithstanding the provisions of subsection (d) of this section regarding an alternative transitional standard offer option or an alternative standard service option, the department shall require a payment by a licensee that fails to comply with the renewable portfolio standards in accordance with subdivision (4) of subsection (g) of this section in the amount of five and one-half cents per kilowatt hour. The department shall allocate such payment to the Renewable Energy Investment Fund for the development of Class I renewable energy sources.

(l) (1) An electric aggregator shall not be subject to the provisions of subsections (a) to (k), inclusive, of this section.

(2) No electric aggregator shall negotiate a contract for the purchase of electric generation services from an electric supplier unless such aggregator has (A) obtained a certificate of registration from the Department of Public Utility Control in accordance with this subsection, or (B) in the case of a municipality, regional water authority and the Connecticut Resources Recovery Authority, registered in accordance with section 16-245b. An electric aggregator that was licensed pursuant to this section prior to the effective date of this section shall receive a certificate of registration on the effective date of this section.

(3) An application for a certificate of registration shall be filed with the department, accompanied by a fee as determined by the department. The application shall contain such information as the department may deem relevant, including, but not limited to, the following: (A) The address of the applicant's headquarters and the

articles of incorporation, if applicable, as filed with the state in which the applicant is incorporated; (B) the address of the applicant's principal office in the state, if any, or the address of the applicant's agent for service in the state; (C) the toll-free or in-state telephone number of the applicant; (D) information about the applicant's corporate structure, if applicable, including financial names and financial statements, as relevant, concerning corporate affiliates; (E) disclosure of whether the applicant or any of the applicant's corporate affiliates or officers, if applicable, have been or are currently under investigation for violation of any consumer protection law or regulation to which it is subject, either in this state or in another state. Each registered electric aggregator shall update the information contained in this subdivision as necessary.

(4) Not more than thirty days after receiving an application for a certificate of registration, the department shall notify the applicant whether the application is complete or whether the applicant must submit additional information. The department shall grant or deny the application for a certificate of registration not more than ninety days after receiving all information required of an applicant. The department shall hold a public hearing on an application upon the request of any interested party.

(5) As a condition for maintaining a certificate of registration, the registered electric aggregator shall ensure that, where applicable, it complies with the National Labor Relations Act and regulations, if applicable, and it complies with the Connecticut Unfair Trade Practices Act and applicable regulations.

(6) Any registered electric aggregator that fails to comply with a registration condition or who violates any provision of this section shall be subject to civil penalties by the Department of Public Utility Control in accordance with the procedures contained in section 16-41, or the suspension or revocation of such registration, or a prohibition on accepting new customers following a hearing that is conducted as a contested case in accordance with the provisions of chapter 54.

Sec. 7. Section 16-245a of the general statutes is repealed and the following is substituted in lieu thereof (*Effective January 1, 2004*):

[(a) To be licensed under section 16-245, an applicant for a license shall demonstrate to the satisfaction of the Department of Public Utility Control that not less than one-half of one per cent of its total electricity output shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2001, not less than three-fourths of one per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2002, not less than one per cent of such output shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources.]

(a) (1) On and after [July 1, 2003,] January 1, 2004, an electric supplier and an electric distribution company providing transitional standard offer pursuant to section 16-244c, as amended by this act, shall demonstrate to the satisfaction of the Department of Public Utility Control that not less than [one and one-half] one per cent of [such output] the total output or services of such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [five and one-half] three per cent of the total output or services shall be from Class I or Class II renewable energy sources. On and after [July 1, 2004] January 1, 2005, not less than [two] one and one-half per cent of the total output or services of any such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [six] three per cent of the total output or services shall be from Class I or Class II renewable energy sources. On and after [July 1, 2005,] January 1, 2006, an electric supplier and an electric distribution company providing standard service or supplier of last resort service, pursuant to section 16-244c, as amended by this act, shall demonstrate that not less than [two and one-half] two per cent of the total output or services of any such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [six] three per cent of the total output or services shall be from Class I or Class II renewable energy sources. On and after [July 1, 2006] January 1, 2007, not less than three and one-half per cent of the total output or services of any such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [six] three per cent of the total output or services shall be from Class I or Class II renewable energy sources. On and after [July 1, 2007] January 1 2008, not less than [four] five per cent of the total output or services of any such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [six] three per cent of the total output or services shall be from

Class I or Class II renewable energy sources. On and after [July 1, 2008] January 1, 2009, not less than [five] six per cent of the total output or services of any such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [six] three per cent of the total output or services shall be from Class I or Class II renewable energy sources. On and after [July 1, 2009] January 1, 2010, not less than [six] seven per cent of the total output or services of any such supplier or distribution company shall be generated from Class I renewable energy sources and an additional [seven] three per cent of the total output or services shall be from Class I or Class II renewable energy sources. [An electric supplier may satisfy the requirements of this subsection by participating in a renewable energy trading program approved by the state. Any supplier who provides electric generation services solely from a Class II renewable energy source shall not be required to comply with the provisions of this section.]

(2) An electric supplier or electric distribution company may satisfy the requirements of this subsection by (A) purchasing Class I or Class II renewable energy sources within the jurisdiction of the regional independent system operator, or within the jurisdiction of New York, Pennsylvania, New Jersey, Maryland, and Delaware, provided the department determines such states have a renewable portfolio standard that is comparable to this section; or (B) by participating in a renewable energy trading program within said jurisdictions as approved by the Department of Public Utility Control.

(3) Any supplier who provides electric generation services solely from a Class II renewable energy source shall not be required to comply with the provisions of this section.

(b) An [applicant's demonstration] electric supplier or an electric distribution company shall base its demonstration of generation sources, as required under subsection (a) of this section [, shall be based] on historical data, which may consist of data filed with the regional independent system operator.

(c) (1) A supplier or an electric distribution company may make up any deficiency within its renewable energy portfolio within the first three months of the succeeding calendar year or as otherwise provided by generation information system operating rules approved by New England Power Pool or its successor to meet the generation source requirements of subsection (a) of this section for the previous year.

(2) No such supplier or electric distribution company shall receive credit for the current calendar year for generation from Class I or Class II renewable energy sources pursuant to this section where such supplier or distribution company receives credit for the preceding calendar year pursuant to subdivision (1) of this subsection.

[(c)] (d) The department [may] shall adopt regulations, [pursuant to] in accordance with the provisions of chapter 54, to implement the provisions of this section.

Sec. 8. Subsection (a) of section 16-245l of the general statutes, as amended by section 3 of public act 02-64, is repealed and the following is substituted in lieu thereof (*Effective January 1, 2004*):

(a) The Department of Public Utility Control shall establish and each electric distribution company shall collect a systems benefits charge to be imposed against all end use customers of each electric distribution company beginning January 1, 2000. The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 to establish the amount of the systems benefits charge. The department may revise the systems benefits charge or any element of said charge as the need arises. The systems benefits charge shall be used to fund (1) the expenses of the public education outreach program developed under [subsection (a)] subsections (a), (f) and (g) of section 16-244d, as amended by this act, other than expenses for department staff, (2) the reasonable and proper expenses of the education outreach consultant pursuant to subsection (d) of section 16-244d, (3) the cost of hardship protection measures under sections 16-262c and 16-262d and other hardship protections, including but not limited to, electric service bill payment programs, funding and technical support for energy assistance, fuel bank and weatherization programs and weatherization services, (4) the payment program to offset tax losses described in section 12-94d, (5) any sums paid to a resource recovery authority pursuant to subsection (b) of section 16-243e, (6) low income conservation programs approved by the Department of Public Utility Control, (7) displaced worker protection costs, (8) unfunded storage and disposal costs for spent nuclear fuel generated before January 1, 2000, approved by the appropriate regulatory agencies, (9) postretirement safe shutdown and site protection costs that are incurred in preparation for decommissioning, (10) decommissioning fund contributions, (11) the costs of temporary electric generation facilities incurred pursuant to section 17 of this act, and [(11)] (12)

legal, appraisal and purchase costs of a conservation or land use restriction and other related costs as the department in its discretion deems appropriate, incurred by a municipality on or before January 1, 2000, to ensure the environmental, recreational and scenic preservation of any reservoir located within this state created by a pump storage hydroelectric generating facility. As used in this subsection, "displaced worker protection costs" means the reasonable costs incurred, prior to January 1, 2008, by an electric supplier, exempt wholesale generator, electric company, [or] an operator of a nuclear power generating facility in this state or a generation entity or affiliate arising from the dislocation of any employee other than an officer, provided such dislocation is a result of restructuring of (A) the electric generation market and such dislocation occurs on or after July 1, 1998, or (B) the closing of a Title IV source or an exempt wholesale generator, as defined in 15 USC 79z-5a, on or after January 1, 2004, as a result of such source's failure to meet requirements imposed as a result of sections 22a-197 and 22a-198 and this section or those Regulations of Connecticut State Agencies adopted by the Department of Environmental Protection, as amended from time to time, in accordance with Executive Order Number 19, issued on May 17, 2000; and provided further such costs result from either the execution of agreements reached through collective bargaining for union employees or from the company's or entity's or affiliate's programs and policies for nonunion employees. "Displaced worker protection costs" includes costs incurred or projected for severance, retraining, early retirement, outplacement, coverage for surviving spouse insurance benefits and related expenses. "Displaced worker protection costs" does not include those costs included in determining a tax credit pursuant to section 12-217bb.

Sec. 9. Subsection (d) of section 16-245m of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(d) (1) The Energy Conservation Management Board shall advise and assist the electric distribution companies in the development and implementation of a comprehensive plan, which plan shall be approved by the Department of Public Utility Control, to implement cost-effective energy conservation programs and market transformation initiatives. Each program contained in the plan shall be reviewed by the electric distribution company and either accepted or rejected by the Energy Conservation Management Board prior to submission to the department for approval.

(2) Programs included in the plan shall be screened through cost-effectiveness testing which compares the value and payback period of program benefits to program costs to ensure that programs are designed to obtain energy savings whose value is greater than the costs of the programs. Cost-effectiveness testing shall utilize available information obtained from real-time monitoring systems to ensure accurate validation and verification of energy use. Program cost-effectiveness shall be reviewed annually, or otherwise as is practicable. If a program is determined to fail the cost-effectiveness test as part of the review process, it shall either be modified to meet the test or shall be terminated. On or before January 31, 2001, and annually thereafter until January 31, 2006, the board shall provide a report to the joint standing committees of the General Assembly having cognizance of matters relating to energy and the environment which documents expenditures, fund balances and evaluates the cost-effectiveness of such programs conducted in the preceding year.

(3) [Such programs] Programs included in the plan may include, but not be limited to: [(1)] (A) Conservation and load management programs; [(2)] (B) research, development and commercialization of products or processes which are more energy-efficient than those generally available; [(3)] (C) development of markets for such products and processes; [(4)] (D) support for energy use assessment, real-time monitoring systems, engineering studies and services related to new construction or major building renovation; [(5)] (E) the design, manufacture, commercialization and purchase of energy-efficient appliances and heating, air conditioning and lighting devices; [(6)] (F) program planning and evaluation; and [(7)] (G) public education regarding conservation. Such support may be by direct funding, manufacturers' rebates, sale price and loan subsidies, leases and promotional and educational activities. Any other expenditure by the collaborative shall be limited to retention of expert consultants and reasonable administrative costs provided such consultants shall not be employed by, or have any contractual relationship with, an electric distribution company. Such costs shall not exceed five per cent of the total revenue collected from the assessment.

Sec. 10. Subsection (a) of section 16-245n of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(a) For purposes of this section, "renewable energy" means solar energy, wind, ocean thermal energy, wave or tidal energy, fuel cells, landfill gas, hydrogen production and hydrogen conversion technologies, and low emission advanced biomass conversion technologies and other energy resources and emerging technologies which have significant potential for commercialization and which do not involve the combustion of coal, petroleum or petroleum products, municipal solid waste or nuclear fission.

Sec. 11. Subsection (d) of section 16-245n of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(d) The chairperson of the board of directors of Connecticut Innovations, Incorporated, shall convene a Renewable Energy Investments Advisory Committee to assist Connecticut Innovations, Incorporated, in matters related to the Renewable Energy Investment Fund, including, but not limited to, development of a comprehensive plan and expenditure of funds. The advisory committee shall include not more than twelve individuals with knowledge and experience in matters related to the purpose and activities of said fund. The advisory committee shall consist of the following members: (1) One person with expertise regarding renewable energy resources appointed by the speaker of the House of Representatives; (2) one person representing a state or regional organization primarily concerned with environmental protection appointed by the president pro tempore of the Senate; (3) one person with experience in business or commercial investments appointed by the majority leader of the House of Representatives; (4) one person representing a state or regional organization primarily concerned with environmental protection appointed by the majority leader of the Senate; (5) one person with experience in business or commercial investments appointed by the minority leader of the House of Representatives; (6) one person with experience in business or commercial investments appointed by the minority leader of the Senate; (7) two state officials with experience in matters relating to energy policy and one person with expertise regarding renewable energy resources appointed by the Governor; and (8) three persons with experience in business or commercial investments appointed by the board of directors of Connecticut Innovations, Incorporated. The advisory committee shall issue annually a report to such chairperson reviewing the activities of the fund in detail and shall provide a copy of such report to the joint standing committee of the General Assembly having cognizance of matters relating to energy, the Department of Public Utility Control and the Office of Consumer Counsel.

Sec. 12. Subsection (a) of section 16-245o of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(a) To protect a customer's right to privacy from unwanted solicitation, each electric company or electric distribution company, [as defined in section 16-1,] as the case may be, shall distribute to each customer a form approved by the Department of Public Utility Control which the customer shall submit to [his] the customer's electric or electric distribution company in a timely manner if [he] the customer does not want [his] the customer's name, address, telephone number and rate class to be released to electric suppliers. [, as defined in said section 16-1.] On and after July 1, 1999, each electric or electric distribution company, as the case may be, shall make available to all electric suppliers customer names, addresses, telephone numbers, if known, and rate class, unless the electric company or electric distribution company has received a form from a customer requesting that such information not be released. Additional information about a customer for marketing purposes shall not be released to any electric supplier unless a customer [signs a release which shall be made available by the department] consents to a release by one of the following: (1) An independent third-party telephone verification; (2) receipt of a written confirmation received in the mail from the customer after the customer has received an information package confirming any telephone agreement; (3) the customer signs a document fully explaining the nature and effect of the release; or (4) the customer's consent is obtained through electronic means, including, but not limited to, a computer transaction.

Sec. 13. Subsection (e) of section 16-245o of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(e) Each electric supplier shall, prior to the initiation of electric generation services, provide the potential customer with a written notice describing the rates, information on air emissions and resource mix of generation facilities operated by and under long-term contract to the supplier, terms and conditions of the service, and a notice describing the customer's right to cancel the service, as provided in this section. No electric supplier shall provide electric generation services unless the customer has signed a service contract or consents to such services [pursuant to section 16-245s] by one of the following: (1) An independent third-

party telephone verification; (2) receipt of a written confirmation received in the mail from the customer after the customer has received an information package confirming any telephone agreement; (3) the customer signs a document fully explaining the nature and effect of the initiation of the service; or (4) the customer's consent is obtained through electronic means, including, but not limited to, a computer transaction. A customer who has a maximum demand of five hundred kilowatts or less shall, until midnight of the third business day after the day on which the customer enters into a service agreement, have the right to cancel a contract for electric generation services entered into with an electric supplier.

Sec. 14. Section 16-245p of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(a) **[**Upon being issued a license pursuant to section 16-245, an**]** An electric supplier and an electric distribution company providing standard service or back-up electric generation service, pursuant to section 16-244c, as amended by this act, shall submit information to the Department of Public Utility Control that the department, after consultation with the Consumer Education Advisory Council, established under section 16-244d, determines will assist customers in making informed decisions when choosing an electric supplier, including, but not limited to, the information provided in subsection (b) of this section. Each supplier or electric distribution company providing standard service or back-up electric generation service, pursuant to section 16-244c, as amended by this act, shall submit, on a form prescribed by the department, quarterly reports containing information on rates and any other information the department deems relevant, including, but not limited to, any change in the information as required by the department. After the department has received the information required pursuant to this subsection, the supplier shall be eligible to receive customer marketing information from electric or electric distribution companies, as provided in section 16-245o, as amended by this act.

(b) The Department of Public Utility Control shall maintain and make available to customers upon request, a list of electric aggregators and the following information about each electric supplier **[**, as defined in section 16-1**]** and each electric distribution company providing standard service or back-up electric generation service, pursuant to section 16-244c, as amended by this act: (1) Rates and charges; **[**provided by an electric supplier; **]** (2) applicable terms and conditions of a contract for electric generation services; **[**provided by an electric supplier; **]** (3) the percentage of **[**each supplier's**]** the total electric output derived from each of the categories of energy sources provided in subsection (e) of section 16-244d, the total emission rates **[**at which each facility operated by or under long-term contract to the electric supplier emits**]** of nitrogen oxides, sulfur oxides, carbon dioxide, carbon monoxide, particulates, heavy metals and other wastes the disposal of which is regulated under state or federal law at the facilities operated by or under long-term contract to the electric supplier or providing electric generation services to an electric distribution company providing standard service or back-up electric generation service, pursuant to section 16-244c, as amended by this act, and the analysis of the environmental characteristics of each such category of energy source prepared pursuant to subsection (e) of said section 16-244d and to the extent such information is unknown, the estimated percentage of the **[**electric supplier's**]** total electric output for which such information is unknown, along with the word "unknown" for that percentage; (4) a record of customer complaints and the disposition of each complaint; and (5) any other information the department determines will assist customers in making informed decisions when choosing an electric supplier. The department shall update the information at least quarterly. The department shall put such information in a standard format so that a customer can readily understand and compare the services provided by each electric supplier.

Sec. 15. Section 16-245s of the general statutes is amended by adding subsection (d) as follows (*Effective July 1, 2003*):

(NEW) (d) The Department of Public Utility Control shall adopt regulations, in accordance with the provisions of chapter 54, to address abusive switching practices by suppliers.

Sec. 16. (NEW) (*Effective from passage*) Not later than October 1, 2004, each municipal electric utility, including any participating municipal electric utility, as defined in section 16-1 of the general statutes, as amended by this act, shall, in consultation with the municipal electric energy cooperative established under chapter 101a of the general statutes, set, pursuant to section 7-222 of the general statutes, a rate for the interconnection of generation facilities into its transmission and distribution system, which generation

facilities are located in the service territory of the municipal electric utility and began operations after the effective date of this section.

Sec. 17. (NEW) (*Effective from passage*) (a) The Department of Public Utility Control may, from July 1, 2003, to January 1, 2008, inclusive, determine, by an affirmative vote of four commissioners of the Public Utilities Control Authority, that (1) safe, adequate and reasonably priced electricity is not available on the wholesale market; (2) additional temporary electric generation facilities will result in reductions in federally mandated congestion costs for which the ratepayers of the state are responsible; and (3) the prices and costs specified in subdivision (2) of this subsection will exceed the cost of investment in temporary electric generation facilities. Such determination shall be in writing and shall state the reasons supporting the determination.

(b) Upon issuing a determination pursuant to subsection (a) of this section, the department shall hold a contested case proceeding, in accordance with the provisions of chapter 54 of the general statutes, to develop a request for proposal to solicit the provision of such additional temporary electric generation facilities, containing such terms and conditions that will best serve the interests of the public. The request for proposal process shall be designed to ensure fairness and full participation by all qualified responders.

(c) The department may negotiate for terms and conditions necessary to conclude a transaction with one or more entities responding to a request for proposal, after notice to all entities that responded. The department shall base its decision to conclude a transaction on the best interest of the public and ratepayers.

(d) Nothing in this section shall be construed to allow an electric distribution company to own, operate, lease or control any facility or asset that generates electricity, or retain any interest in such facility or asset as part of any transaction concluded pursuant to this section.

Sec. 18. Subdivision (6) of subsection (a) of section 16-244e of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2003*):

(6) Once unbundling is completed to the satisfaction of the department and consistent with the provisions of section 16-244, (A) any corporate affiliate or separate division that provides electric generation services as a result of unbundling pursuant to this subsection shall be considered a generation entity or affiliate of the electric company, and the division or corporate affiliate of the electric company that provides transmission and distribution services shall be considered an electric distribution company, and (B) an electric distribution company shall not own or operate generation assets.

Sec. 19. (*Effective from passage*) Not later than July 1, 2003, the Department of Public Utility Control shall open a docket to review and adopt generation interconnection protocols. If the Institute of Electrical and Electronics Engineers, or its successor, has adopted such protocols, then the department shall adopt such protocols.

Sec. 20. (*Effective from passage*) On or before July 1, 2005, the department shall initiate a contested case proceeding, in accordance with the provisions of chapter 54 of the general statutes, to examine the state of competition in the retail provision of electric generation services. The department shall examine factors associated with a competitive market place, including, but not limited to, (1) the number of electric suppliers providing electric generation services to end-use customers in this state; (2) the number of electric suppliers actively marketing new end-use customers; (3) for each electric distribution company, the number of end-use customers receiving electric generation services as part of the transitional standard offer established pursuant to section 16-244c of the general statutes, as amended by this act, as a percentage of the number of customers of each electric distribution company; (4) for each electric distribution company, the number of end-use customers receiving electric generation services from an electric supplier, as a percentage of the number of customers of each electric distribution company; (5) the number of end-use customers who have executed a contract with an electric supplier and who have returned to the standard offer or to the transitional standard offer established pursuant to section 16-244c, as amended by this act; and (6) any other factors the department may deem relevant. In its final decision in such case, the department shall make recommendations regarding the protection of ratepayers from excessive rate fluctuations and the development of the market place for the competitive provision of retail electric generation services. The department shall submit a copy of its final decision in such case to the joint standing committee of the General Assembly having cognizance of matters relating to energy and public utilities not later than January 1, 2006.

Sec. 21. (NEW) (*Effective from passage*) The Department of Public Utility Control shall allocate the proceeds of the retail adder established by the department in its decision in docket number 99-03-36, dated October 1, 1999, or any similar subsequent retail adder established by the department pursuant to subsection (b) of section 16-244c of the general statutes, as amended by this act, for the mitigation of the costs associated with the compensation provided in subdivision (4) of subsection (b) of section 16-244c of the general statutes, as amended by this act. The department may use any remaining proceeds of a retail adder for the mitigation of the costs associated with the difference between the total rate charged under the standard offer pursuant to subsection (a) of section 16-244c of the general statutes and the total rate charged under the transitional standard offer pursuant to subsection (b) of section 16-244c of the general statutes, and then for the accelerated payment of stranded costs established pursuant to section 16-245e of the general statutes.

Sec. 22. Subsection (a) of section 16-245d of the general statutes is repealed and the following is substituted in lieu thereof (*Effective from passage*):

(a) The Department of Public Utility Control shall, by regulations adopted pursuant to chapter 54, develop a standard billing format that enables customers to compare pricing policies and charges among electric suppliers. **[**, as defined in section 16-1. **]** On and after January 1, 2000, each electric company or electric distribution company, **[**as defined in said section 16-1,**]** as the case may be, shall, in accordance with the billing format developed by the department, include at a minimum the following information in each customer's bill: (1) The total amount owed by the customer, which shall be itemized to show, (A) the electric generation services component and any additional charges imposed by the electric supplier, if applicable, (B) the electric transmission and distribution charge, including all applicable taxes and the systems benefits charge, as provided in section 16-245l, as amended by this act, (C) the competitive transition assessment, as provided in section 16-245g, (D) federally-mandated congestion costs, and **[**(D)**]** (E) the conservation and renewable energy charge, consisting of the conservation and load management program charge, as provided in section 16-245m, as amended by this act, and the renewable energy investment charge, as provided in section 16-245n, as amended by this act; (2) any unpaid amounts from previous bills which shall be listed separately from current charges; (3) except for customers subject to a demand charge, the rate and usage for the current month and each of the previous twelve months in the form of a bar graph or other visual form; (4) the payment due date; (5) the interest rate applicable to any unpaid amount; (6) the toll-free telephone number of the electric distribution company to report power losses; (7) the toll-free telephone number of the Department of Public Utility Control for questions or complaints; (8) the toll-free telephone number and address of the electric supplier; and (9) a statement about the availability of information concerning electric suppliers pursuant to section 16-245p, as amended by this act.

Sec. 23. Section 16-331 of the general statutes is amended by adding subsection (i) as follows (*Effective October 1, 2003*):

(NEW) (i) Notwithstanding the provisions of subsections (b) and (d) of this section, the department shall not renew a franchise for a term of more than five years if the department determines that the person, association or corporation, during the term of the prior franchise, has substantially failed to (1) deal effectively with consumer requests, complaints and billing or service questions and disputes; (2) provide quality and diversity of programming; (3) maintain fair and reasonable rates for basic and extended basic service, and associated equipment, taking into consideration the quality of service and programming provided to consumers; (4) provide quality community access programming, including public access, educational access, governmental access programming and the Connecticut Television Network or its successor; or (5) meet commitments for service extension to customers within the franchise area. Nothing in this subsection shall authorize the department to set specific rates for service or associated equipment.

Sec. 24. (*Effective July 1, 2003*) Section 16-6c of the general statutes is repealed.

Approved June 26, 2003